

SPECIALTY TRADE CONTRACT**CONTRACTOR CALOFT CORP**DATE **01/17/25**

Proposal valid for 30 days

CALOFT CORP CSLB# 970476

630 S. Glassell Street, Suite 201, Orange, CA. 92866 714-289-4652

SIGNED

CLIENT #

VERSION

1.0**HIGH CEILING CONVERSION/RETROFITTING SPECIALIST CONTRACT**

a TRULOFT partnership corporation

HOMEOWNER / PROPERTY INFO

Perry
Larson
29 Rainbow Lake
Irvine
92614

Client Contact Info

Gate Code	
Phone 1	(949) 769-1509
Phone 2	-
Email 1:	larson7@cox.com
Optional Email 2:	0

GENERAL SCOPE DESCRIPTION

Specialty trade contract - convert high ceiling to new room per the scope item(s) listed below. Expert retrofitting to existing structure is required and included per details within. No visible posts planned or anticipated. Design according to scope details below.

SCOPE ITEMS INCLUDED

- A Convert high ceiling at flat ceiling only to new open loft leaving all vaulted areas open.
- B Step up framing (NO VISIBLE POST) frame across to exterior wall (create floating beam feature)
- C Open railing to resemble existing (stain grade wood) (paint/stain not yet included)
- D Low wall feature (small) at transition of railing for architectural blending of the two different rail sizes
- E
- F
- G

CONTRACT TOTAL AMOUNT **\$38,872****IMPORTANT WARNING - why use an experienced structural conversion specialist?**

AVOID DAMAGE - When your home was originally built it had approximately 1-3 tons of moisture within the lumber. As the house ages the lumber can shrink significantly. For this reason, when introducing new lumber into an older/existing structure the new floor system will commonly NOT properly fit. Even if a contractor purchases oversized materials and cuts the new lumber down to fit it too will shrink after a few years. This new shrinkage cycle can wreak havoc on your home pulling the old walls and floors in, causing cracking walls, ceilings, leading to squeaking and even joint rupturing. This is NOT a job for a traditional designer, engineer or "general" contractor that does not understand these unique retrofitting issues and how to properly remedy them. These issues will pose a real challenge in maintaining the structural integrity, squeaking floors and architectural condition of your home for years to come. If NOT performed correctly by an experienced "inside addition" expert, introducing a new structural floor system inside the existing "older" structure can severely compromise the integrity and value of your home. The owners of TRULOFT Design and CALOFT construction have been working together since 2004 and have developed and mastered our proprietary systems and craftsmanship techniques that remedy these issues so your new addition can be PROTECTED with an unprecedented warranty by CALOFT. You can learn about retrofitting by going to www.truplans.net/retrofit

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EXPERT DESIGN, PLANNING, ENGINEERING & STRUCTURAL PLANS by TRULOFT

INCLUDED	ITEM#	ITEM DESCRIPTION	TRULOFT
Y	0001	PLANNING, ZONING, RESEARCH	
		PLANNING, ZONING & RESEARCH by award winning TRULOFT by TRUPLANS INC - Truplans Inc is our in-house design and planning service. The scope of your project will be reviewed with planning and zoning with your local building department to determine if any initial restriction might apply.	
Y	0002	DESIGN MEETING(S)	EXPERT CONVERSION DESIGN by TRULOFT DESIGN
QTY		IN-HOME or ONLINE DESIGN MEETING(S) - Includes scope review, 3D touring of your proposed design. Number of design meetings included in quantity at left. Design meetings are conducted during normal business hours (9AM-5PM) Mon-Fri. After hours and/or weekend meetings are additional cost (TBD).	
1		PLAN DISCLAIMER; During the design process some features, trims, finishes, furniture and other options may appear in the PLANS and 3D images which are not necessarily included in the contract. Please be aware that PLANS and 3D graphics are only a tool to help visualize the concept of your design. APPROVING THE WRITTEN PLANS AND/OR 3D GRAPHICS DO NOT AUTOMATICALLY INCLUDE UPGRADED FEATURES OR THE QUANTITY OF ITEMS SHOWN. AN ADDENDUM WILL BE REQUIRED FOR ANY DESIRED FEATURES THAT ARE NOT INCLUDED IN THIS WRITTEN CONTRACT.	
		CALOFT CORP CSLB#1059227 is a TRULOFT partnership corporation. TRULOFT by TRUPLANS INC is owned and operated by the expert design and retrofitting team that has specialized in high ceiling conversions since 2004. This contract includes the plans and engineering services provided by the most experienced high ceiling conversion designers and engineers in California.	
Y	0003	WHOLESALE SHOWROOM	flooring, cabinets, tile, counter tops, fixtures
		SHOWROOMS and FINISHING DESIGN SERVICES - TRULOFT has several large showrooms that are NOT OPEN TO PUBLIC (for contractors) CALL TRUPLANS INC (714) 289-4652 for locations and appointments. By appointment only. Wide selection of flooring, cabinets, & counter tops. Note: Showroom availability does not mean the items are included. See appropriate section for details. Installation of flooring is NOT included in this contract. You may use your choice of flooring contractor or the installers recommended by showroom rep.	
Y	0004	ARCHITECTURAL PLANS/CONSTRUCTION DOCUMENTS	ZONE
		CONSTRUCTION DOCUMENTS & DRAWINGS - after you approve your project design the appropriate architectural construction documents will be prepared. These documents will be supplied to the applicable entities for review; i.e. Homeowner association (HOA), structural engineer, and for plan check review process.	2
N	0005	TITLE 24 ENERGY REPORT	ENERGY CALCS
		NOT APPLICABLE / NOT INCLUDED	
Y	0006	HOMEOWNER ASSOCIATION(S)	HOA
		CALOFT will prepare the required package for the HOA achitectural review board. Homeowner is responsible for reviewing the HOA rules and/or CC&Rs to insure that your project scope is allowable. Homeowner must also provide; 1.) HOA contact information to CALOFT 2.) Signed HOA application form, and other form(s) including neighborhood awareness form signed by neighbors. 3.) Payment for any required HOA application fees or deposits. These items will be assembled with the plans and submitted together by CALOFT to your HOA for review. See article 5.0 in terms and conditions	
Y	0008	STRUCTURAL DRAWINGS	EXPERT RETROFITTING ENGINEER rail engineering
		STRUCTURAL ENGINEERING, DRAWINGS, DETAILS & CALCS - structural plans and calculations for the plan check review process with licensed engineering "wet stamp".	
Y	0009	PLAN CHECK & PERMIT PROCESS	
		CALOFT will submit your plans to the city building department for plan check review and construction permit issuance. CALOFT will be responsible for plan check submittal, corresponding with building department and pulling the permit. HOMEOWNER will be responsible for all fees related to this project INCLUDING THE PLAN CHECK AND PERMIT FEES. See article 5.0 in terms and conditions.	



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INCLUDED

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PREP, PROTECTION, DEMOLITION, MGMT

INCLUDED	ITEM#	ITEM DESCRIPTION	DETAILS / NOTE
Y	0100	PRECONSTRUCTION MEETING	PROJECT SUPERVISION/MGMT
		Contractor will meet with the Homeowner before construction begins to discuss project logistics; i.e. material ordering & deliveries, project safety, and other project logistics.	NOTE
Y	0101	PROTECTION	Temporary toilet on property
		Protect surfaces from construction traffic, working hazards and dust. Plastic sheeting, zipper doors, flooring protection (i.e. carpet mask, hard floor cover, fencing if required).	NOTE
Y	0102	DEMOLITION, SHORING & DE-INSTALLATIONS	
		STANDARD DEMO and SHORING - Salvage rules for demo item(s); there is no guarantee that any salvaged item can be removed without damage. Re-installing salvage items are NOT included unless specified within contract. No warranty for reinstalled salvaged item(s)	NOTE
Y	0103	DEBRIS & HAUL AWAY	
		Debris haul away of project related trash only. Contractor shall determine if dumpster or trash trailer shall be used.	NOTE

FOUNDATION & CONCRETE

N	0104	NEW FOOTINGS	SEE TERMS & CONDITIONS 4.0, 4.1
		NOT APPLICABLE / NOT INCLUDED - Note: the absence of sufficient existing footings in your home is not common, however, could be considered a hidden condition if they are determined to be inadequate during structural calculations review.	NOTE

FRAMING / CONSTRUCTION

N	0151	RETROFIT STRUCTURAL SHEARWALL	SEE TERMS & CONDITIONS 4.0, 4.1
		NOT APPLICABLE / NOT INCLUDED - Note: the absence of sufficient existing shear wall in your home is not common, however, could be considered a hidden condition if it is determined to be inadequate during structural calculations & review.	NOTE

Y	0154	LOW WALL a.k.a pony wall	
		LOW WALL (A.K.A. pony wall): minimum 42 inch height (to meet code requirements). Decorative cap not required and yet included TBD in design	NOTE

Y	0155	FLOOR SYSTEM FRAMING	10 STAR PROPRIETARY SYSTEM
		CALOFT signature 10 STAR "TRU-STRENGTH" structural floor framing is a proprietary system. It was the first ever lifetime structural floor system warranty introduced in California and greatly exceeds building code & industry standards. It is superior in quality to ALL competitive brand hopefuls. 10 star/accolades below:	
		1. EXPERT structural design	6. LOW deflection results (no trampoline floors)
		2. HIGHLY experienced retrofit engineering	7. FITTED & glued joints, hardware and connections
		3. PREMIUM grade materials (engineered lumber)	8. RING shank nails and screws
		4. PRECISION measuring and cutting	9. PROPRIETARY (brand secret) joist averaging & blend matching
		5. CORRECTIVE alignment & fitting	10. LIFETIME structural warranty & no squeak guarantee

FLOOR SYSTEM WARRANTY**LIFETIME STRUCTURAL WARRANTY & NO SQUEAK GUARANTEE**

Y		CALOFT covers the structural integrity of the new floor system and protects against squeaks. CALOFT will repair any squeaks and/or structural defects found as a result of faulty installation. Does not include floor coverings such as tile or wood that makes noise over top of the new floor system. Covers floor joist, beams, sub-floor and hardware. Warranty is void if any of the following conditions occur; other additions or work is done to the home, acts of nature that compromise the structure including but not limited to; earthquakes, floods, mud slides, tsunamis, hurricanes, tornadoes, high winds, man made disasters, war, terrorism, explosions and/or damage caused by insects, animals, excessive heat, excessive cold or other weather anomalies. Note: Lifetime in the housing industry is defined as a 55 year period.	INITIAL RL
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MECHANICAL - AIR**N 0175 FORCED AIR UNIT (FAU)**

QTY	NOT APPLICABLE / NOT INCLUDED - nearly all high ceiling conversions DO NOT require any kind of upgrade unless the existing system is currently inadequate. Adding the new ducts below typically improves the efficiency of the existing air system.	

Y 0177 AIR DUCTS/VENT(S) Applies to new and/or modified vent(s)

QTY	HVAC DUCT & VENT Install new duct/vent and/or modify existing to meet code requirement. Duct routing and final vent location shall be the sole discretion of the Contractor. See quantity at left.	NOTE
1		

ELECTRICAL

INCLUDED ITEM# ITEM DESCRIPTION DETAILS / NOTE

N 0201 ELECTRICAL PANEL UPGRADE

OR SUB PANEL

QTY	NOT APPLICABLE / NOT INCLUDED	NOTE

Y 0202 NEW ELECTRICAL CIRCUITS

QTY	NEW HOME RUN circuit back to existing electrical panel with minimum 15amp breaker and wiring included. Includes consolidation of existing breakers if needed and panel size is adequate. See qty at left	NOTE
1		

Y 0203 POWER OUTLETS

QTY	ELECTRICAL OUTLETS - tamper resistant arc-fault and/or break fault power plugs to meet building code requirements in new project area. Plus or minus one outlet in project walls does not change price (no additional charge, no credit)	NOTE
4		

Y 0204 RECESSED LIGHTS

QTY	4 or 6 INCH LED (high efficacy) standard recessed can(s) installed w/standard white baffle trim. Custom cans or baffles may affect price.	DESIGN ADDENDUM
2		

Y 0206 LIGHT SWITCHES

QTY	LIGHT SWITCHES; to meet code for project area. Dimmer switch(s) are selected by Contractor. Requests for special brands and features may affect price.	NOTE
3		

Y 0210 SMOKE & CARBON MONOXIDE

	Contractor will provide required smoke/carbon monoxide detectors for project area(s) ONLY if any. Homeowner is responsible for all other existing areas to meet building code requirement.	NOTE

GENERAL PLUMBING

INCLUDED ITEM# ITEM DESCRIPTION DETAILS / NOTE

N 0330 FIRE SPRINKLERS

	NOT APPLICABLE / NOT INCLUDED	# of Heads Included

INSULATION**N 0404 THERMAL INSULATION**

QTY	NOT APPLICABLE / NOT INCLUDED	NOTE

Y 0405 INSULATE NEW FLOOR SYSTEM

QTY	INSULATE NEW FLOOR SYSTEM FOR SOUND RESISTANCE; Standard fiberglass insulation inside new floor system only. R19 insulation materials included, insulation material upgrades available for additional charges.	NOTE
1		

DRYWALL

Y	0406 DRYWALL	
	TEXTURED DRYWALL: tape and texture to match existing. Feather between project and existing transitions. Matched as closely as professionally possible.	PROJECT SIZE
		2

Y	0407 MISC DRYWALL PATCHING	
	PATCH AFFECTED AREAS; i.e. to run new electrical circuit cutting of drywall may be required in other rooms outside the immediate project area. Patching included.	NOTE

CUSTOM FEATURES | TRIM | RAILING | DECKS | FLOORING | PAINT/STAIN

INCLUDED	ITEM#	ITEM DESCRIPTION	DETAILS / NOTE
N	0750 COFFER CEILING		
QTY		NOT APPLICABLE / NOT INCLUDED	

N	0751 CROWN MOLDING		
		NOT APPLICABLE / NOT INCLUDED	

Y	0752 BASEBOARDS		
		BASEBOARDS: Contractor to provide and install baseboards to closely match existing (if available). Upgrades to 5 inch MDF included for project area only.	CREDIT IF NOT INSTALLING
			\$315

Y	0754 STAIR AND OR BALCONY RAILING		
		EXTEND & MATCH EXISTING OPEN RAILING ACROSS NEW SECTION: Match existing open railing system, 42" minimum height (to code). NO PAINT OR STAIN FINISH IN THIS ITEM PRICE.	ALLOWANCE LAB+MAT
1			\$9,575

N	0758 FINISH FLOORING	i.e. carpet, tile, wood flooring etc.	
		NOT APPLICABLE / NOT INCLUDED	

N	0759 PAINTING / STAINING		INITIAL
		NOT APPLICABLE / NOT INCLUDED - Any mention of "Paint or Stain Grade" surfaces in this quote are a reference only to the material grade or wood species and does not indicate a painted or stained surface. Although some products may come primed from the manufacturer the Homeowner's painter or stainer is responsible for prepping and finishing all surfaces, including sanding, qualking, sealing, priming, painting and staining. These steps are all part of the professional painting/staining process. Contractor shall install products and materials "ready for paint or stain prep" and is not responsible for imperfections, flashing sheens, discolorations, refinishing surfaces that are due to poor painter/stainer workmanship.	

CONTRACT ITEMS & ALLOWANCES

GRAND TOTAL \$38,872

#	PAYMENT SCHEDULE MILESTONES	AMOUNT
1	DEPOSIT - due at signing of contract	\$1,000
2	DESIGN - due at completion of first design meeting	\$5,000
3	MATERIAL DEPOSITS (advanced ordering) - due at pre-construction meeting	\$3,125
4	PREP & DEMO (includes initial material delivery)	\$6,000
5	ROUGH INSPECTION - due at rough inspection	\$8,010
6	DRYWALL SCREW - due at drywall screw inspection	\$8,225
7	FINAL INSPECTION - due at passing final inspection	\$7,512

PAYMENT TOTAL \$38,872

PAYMENTS DO NOT INDICATE THE COST OF A TRADE OR PHASE. PAYMENTS ARE PROJECT MILESTONES COVERING VARIOUS TRADES.

FORCE MAJEURE

Force Majeur is in affect for this contract. Unforeseen forces can affect the completion time and cost of this contract that are out of the control of the contractor. Examples include, but are not limited to; Government strikes, any natural or man-made disaster, supply chain crisis, pandemics, war, terrorism, civil unrest, riots, hyper-inflation, and/or other type of event that may impact the ability to work, travel, purchase supplies, or access your project.

CHECKS	PLEASE MAKE CHECKS PAYABLE TO: CALOFT CORP	INITIAL
CREDIT CARDS	Credit Card Policy: CALOFT accepts credit card for all payments according to the following terms; Deposit may be paid with credit card with no additional fees or charges. All other CREDIT CARD payments (except deposit) require a 2.9% processing fee. If you are planning to make payments using a credit card you must notify CALOFT in advance BEFORE payment is due. Invoices being paid by credit card will be issued 2 days in advance of the payment schedule outlined above to account for processing time.	PL
DIRECT	NO ADDITIONAL CHARGE FOR DIRECT ONLINE BANK PAYMENTS	
PREFERRED METHOD - DIRECT ONLINE BANK PAYMENTS		

CONSTRUCTION TIME & SCHEDULING**TOTAL ESTIMATED CONSTRUCTION TIME**

3 weeks

DOES NOT INCLUDE PLAN PRODUCTION/PERMIT TIME

APPROXIMATE START DATE (to be determined at signing of contract)

APPROXIMATE COMPLETION DATE (to be determined at signing of contract)

NOTE: START DATE MAY BE AFFECTED BY THE ACTUAL ISSUANCE OF THE BUILDING PERMIT. YOUR PROJECT CANNOT COMMENCE UNTIL THE PERMIT HAS BEEN ISSUED BY THE BUILDING DEPARTMENT. THE ACTUAL DAY OF COMMENCEMENT IS COMMUNICATED BY THE GENERAL CONTRACTOR HIMSELF AS THE START MONTH & WEEK APPROACH AND MAY ALSO BE AFFECTED BY THE COMPLETION DATE OF THE PROJECT PREVIOUS TO YOURS RESULTING IN A VARIANCE OR AS MUCH AS A WEEK OR TWO.

TERMS AND CONDITIONS

1.0 PAYMENTS ARE DUE IMMEDIATELY UPON BILLING. Invoices are sent via email. You may hand payments (checks) to the owner(s) of CALOFT or designated foreman. Due to the pace at which CALOFT builds and the close proximity of construction due dates a payment may be considered late if not paid within 2 days. CALOFT is NOT quick to issue late fees or halt work, but neglecting to follow the payment schedule is considered a breach of contract. Late payments can cause your project to be placed on hold (suspended) or even canceled.

If your project is placed on hold another CALOFT CLIENT project may be started and you may have to wait for that project to be completed before work may be rescheduled and resumed. Late payments, bounced checks and/or partial payment for services rendered within this agreement may be considered a breach of contract. Homeowner is responsible for payment of all services rendered. Penalties not less than 3% per week may apply as late fees on balance owed. CALOFT may cancel service, at anytime for lack of payment. Project suspension or cancellation does not relieve the Homeowner of the responsibility to pay for work performed. RIGHT TO LIEN PROPERTY - CALOFT reserves the right to lien Homeowner's property for any balances due.

1.1A FINAL PAYMENT: due upon passing final inspection. If homeowner delays final inspection for any reason the payment will be due upon substantial completion. PUNCH LIST ITEMS: Within 7 days of substantial completion and/or final inspection the Homeowner will make a written list of any "pick up" items (IF ANY) for CALOFT to review. The Homeowner may elect to withhold a maximum of ten percent (10%) of the LAST PAYMENT amount (NOT 10% of contract amount) until these pick up items have been addressed and/or completed. All other outstanding balances will be due upon invoicing. Please note that pick up items are only for items included in this contract and do not include items related to other projects, or other workers hired by the Homeowner.

1.1B INSUFFICIENT FUNDS: If Homeowner's payment is returned with insufficient funds or credit card denied the Homeowner shall immediately be charged an additional \$65 processing fee. In addition the payment or payments(s) due will automatically become late (see late fees that apply) if not resolved the same day. The balance due must satisfied within 24 hours to avoid late charges.

1.2 MECHANICS LIEN LAW (this message is required by law to be on the contract).

A mechanics lien is a "hold" against your property, filed by an unpaid contractor, subcontractor, laborer, or material supplier, and is recorded with the county recorder's office. If unpaid, it allows a foreclosure action, forcing the sale of the property in lieu of compensation.

A lien can result when the prime contractor (referred to as a "direct contractor" in mechanics lien revision statutes, effective July 1, 2012) has not paid subcontractors, laborers, or suppliers. Legally, the homeowner is ultimately responsible for payment — even if they already have paid the direct contractor.

What happens when a lien is filed against your property?

A lien can result in a range of problems, which include:

Foreclosure (if the homeowner doesn't pay the lien);

Double payment for the same job (if the homeowner pays the direct contractor, and he/she does not have to pay the subcontractor, laborer, or supplier); and/or

A recorded lien on the property title (which can affect the owner's ability to borrow against, refinance, or sell the property).

1.3 STOPPAGE OF WORK; At any given point and for any reason if the homeowner decides to stop payment or halt the work a stop work order must first be made verbally directly to CALOFT management followed up by a written statement declaring the same. The Homeowner is responsible for all work and material costs performed up to the point of receiving the stop work order. This term applies to the project at any phase whether in design, engineering, permitting or construction.

Please note: The payment schedule is not directly based on the performance of daily work. Each payment is scheduled during a particular project milestone not necessarily related to all the work being performed at any given time. It is possible to still have additional costs remaining that the Homeowner will be responsible for even after the stoppage of work. Any package pricing discount will be forfeited and the contractor (CALOFT) has the right to full compensation for work performed and materials purchased according to time \$65 per hour for skilled laborers and \$35 / hour for office or administrative work performed for this project.

1.4 RESEARCH AND DISCOVERY PERIOD; A research and discovery period shall be recognized between the time of the signing of this agreement and the final engineering review stage. During this period the Contractor may make physical observations to the property, project area, homeowner demeanor and/or financial status, engineering reviews, and information provided by the city building department. During this period if the Contractor determines that the project cannot be drawn and built within the scope and pricing of this agreement, the Contractor has the option to terminate this agreement entirely without any penalty and will return the entire amount paid including the deposit (100% refund) back to the homeowner. If such a case arises the contract shall be considered null and void and no obligations shall remain between the Homeowner and the Contractor. No claims for time spent, money spent, or any other expenses by either CALOFT or Homeowner will be required or issued.

1.5A ALLOWANCES - If applicable, an allowance is a budgetary amount assigned to a specific item in this contract, i.e. materials, labor, or both. If an allowance is assigned to any item the allowance amount is included within the contract total amount. If the final price is less than the allowance amount the Homeowner will receive a credit. If the final price is greater than the allowance the Homeowner will be responsible for paying the increase (difference) which will be due when invoiced. Allowances are assigned to items that can vary in price depending upon the Homeowners final selection and/or design.

1.5B ALLOWANCE INCREASES - Allowances are merely a budgetary placeholder and only an initial estimate amount that is included in the contract. **The final amount of an item could vary significantly** due to many factors including, but not limited to, overall scope of the item, final and/or finishing design features, trims, custom versus prefab selections, product or material selections and availability, hidden conditions, sub-contractors quotations and availability, market price increases (inflation) as well as a host of other reasons. The Homeowner is solely responsible for any cost above the allowance amount. **If the Contractor cannot match the allowance within his resources the Homeowner has the option of removing an item from the contract for the purpose of shopping the price and service.**

1.6 BUDGETARY LIMIT - A budgetary limit is a cost limitation assigned to a particular item in this contract, i.e. materials, labor, or both. As with an allowance any expenditure greater than the stated limit will be the responsibility of the Homeowner and shall be due upon invoicing. A budgetary limit differs from an allowance as there is no credit for spending less than the budgetary limit.

1.7 COURTESY INSTALLATION(s) - where specifically indicated as "Courtesy installation" CALOFT will install appliances provided by Homeowner for no additional charge. Appliances must be present at time of construction to qualify. If appliances are delivered late and/or not on site when Truaddition can perform this free service the service will be waived or an additional charge will be required based on time and material of \$65 / hour plus trip charge. If Homeowner is purchasing appliances from a manufacturer or retailer that requires their own installers perform the work in order to keep the warranty there will be no credit from CALOFT as this is a courtesy service only.

2.0 ACCESS TO PROPERTY; The Homeowner shall provide a house key to CALOFT for free access between the hours of 7:00 AM - 7:30 AM and 5:00 PM Monday-Friday. Please note; access hours and days DO NOT imply required working hours. CALOFT will perform construction and manage the project within this time frame. CALOFT is NOT required to work Saturday's or any specific hours. Free access is needed at the above stated days and times in order to manage preparations, construction, inspections, deliveries and cleanup. Your house key will be secured in a lockbox provided by CALOFT and located outside your home. FAILURE TO PROVIDE ACCESS DURING ALL BUSINESS HOURS MAY VOID COMPLETION DATE AND ADD THE NUMBER OF DAYS IT TAKES TO RESCHEDULE SERVICES.

2.1 ALARM SYSTEMS; The Homeowner is responsible for providing access through all alarm systems including burglar, integrated fire and smoke alarm systems and any other devices for the duration of the project in order to allow CALOFT access to the home. CALOFT is not responsible for any accidental "false alarms" for entry and/or smoke detectors due to dust, hot gluing or for any other reason that may occur or any fees which may be associated with such incidents.

2.2 SIGNAGE; The Homeowner allows CALOFT to place a lawn and/or fence sign to advertise our presence at your property. Sign placement shall be in accordance with all rules of the homeowner association. Homeowner is asked to notify CALOFT of any HOA restrictions or special rules with regards to lawn signs.

2.3 FINAL PHOTOGRAPHY/VIDEO SESSION: After construction has been completed CALOFT shall have access to the home during business hours for a final photography and/or video recording of the work performed. Photography/video is performed by Chris Doering, co-owner of CALOFT and/or personal assistant.

2.4 PERMISSION TO USE PICTURES and VIDEOS: The Homeowner grants CALOFT permission to photograph and/or video the project area before, during and after. CALOFT is free to use any photographs and/or videos for use in advertising and marketing in print media, Internet and/or video media.

PL 04-09-2015
No pictures of home on internet. 3D's ok to use.

2.5 PACKAGE PRICING / ECONOMY OF SCALE - This proposal is based on a package price offer by CALOFT to the Homeowner. Although items may be individually listed as included or excluded the final preparation of this proposal is not based on individually priced items, but instead according to the economy of scale for the entire scope of this project. Except where noted by allowances no credit will be given for items that have been packaged into this proposal if removed. After agreeing to this contract any removal or addition of items must be handled according to the terms and conditions for change orders. See 3.3 and 3.4 below.

3.0 CONTRACTOR & SUPERVISION; The primary design and construction work on this project shall be performed and/or supervised by a designated foreman and/or team. Different phases may be entrusted to different crew leaders. CALOFT may, at their own discretion, hire employees, licensed specialists, and/or sub-contractors to perform any or all aspect of the work performed within this agreement.

3.1 OTHER REQUIREMENTS DURING PLAN CHECK: If landscape plans are required for any reason the Homeowner is responsible for the cost the landscape plans. In addition if ground soils report, boundary and topo survey or grading permit is required the Homeowner is responsible for the additional cost of these services.

3.1A TITLE 24 REPORT - If the energy score (T24 if applicable) of your existing and/or proposed home plans should fail to pass for any reason (meet current standards) causing a special HERS inspection and/or any upgrade work the Homeowner shall be responsible for the cost of the additional inspection, plans, and work needed in order to pass T24 (if applicable).

3.2 MANAGEMENT - The homeowner is strictly forbidden to directly manage CALOFT workers, contractors and sub-contractors on the job. All instructions, changes and comments should be directed to your project Contractor and/or supervisor. The Homeowner is asked to keep themselves, their friends, family members and pets away from the work area for safety reasons.

3.3 CHANGE ORDERS (written) will be used to authorize changes in scope and/or any items that need to be modified, added or removed from the signed contract. Standard procedure for any such items shall be in the form of a written change order. Change order payments / credits will affect the overall contract price and time to complete the project. The contract payment schedule may be modified and/or the change order may have specific payment terms in addition to the contract schedule. Please note: Change order payments may be referred to as contingency on invoices.

3.4 CHANGE ORDERS (verbal): Although verbal change orders are not advised, if a Homeowner requests for changes and the work is performed without a written change order or prior to a written change order being produced the following terms shall be in effect: According to California State law - (Ref. B&P 7159 (e)(3)(C): the Homeowner is hereby informed that the contractor's failure to comply with the requirements of this paragraph (securing written change orders) does not preclude the recovery of compensation for work performed based upon legal or equitable remedies designed to prevent unjust enrichment.) The Homeowner is therefore responsible for the cost of all work in addition to the contract agreement regardless of whether or not the work was actually recorded on a written change order. Warning: If you ask for changes to be performed or additional work in addition to the scope of this agreement you will be billed for the extras on a T&M (time and material) basis. Time = no less than \$75 per hour for each worker involved plus the cost of materials, taxes, pickups, deliveries and/or fees.

4.0 HIDDEN CONDITIONS - Some conditions may arise during design and/or construction that were not evident in preparing this agreement. Examples include, but are not limited to; mold, missing structural attachments, hidden structural conditions, lack of existing structural components, previous remodel or construction work, hidden gas lines, hidden plumbing lines, structural damage caused by insects (termite), water, earthquakes, aging of the home, etc....

4.1 VERIFICATION OF EXISTING STRUCTURE: CALOFT provides this estimate according to the best known practices used during the time of your homes original construction, but the actual techniques used may not be known even by viewing city plans (if available). Hidden conditions may still arise concerning items listed in 4.0 above. Structural components required for final approval depend upon existing shear walls, strong walls, beams, posts, footings, foundations and other structural components anticipated in the structure of your home. These items may not be evident until the complete project area is removed and exposed. Missing items may also be considered a hidden condition. A lateral analysis of the home is sometimes required (not included unless specified) and may reveal that additional construction is required that may not be included in this quote. If the engineering process reveals that your existing home is found to have insufficient shear wall and/or other structural requirements an additional lateral analysis, shear wall, or other structural components may be needed. If verification reveals any of these hidden conditions an additional charge may be necessary to achieve permit approval or passing inspection.

4.2 BUILDING CODE STANDARDS - Contractor shall design and build the project to meet current building code and earthquake standards. The Contractor shall have the final decision as to the exact type and brand of materials and hardware used to install during construction. Contractor may, at his discretion, change brands, suppliers and/or any material specifications listed within this agreement as long as the changes meet building code requirements and receive passing approval by the city building inspector.

5.0 TAXES AND FEES - Unless otherwise stated in the above agreement the Homeowner is responsible for all taxes, assessments, plan check fees, permit fee, and any other fees associated with this project. Others fees might include water district fees, sanitation district fees, electrical meters, school district fees, park fees or any other fees not related to Contractors labor and material cost are the responsibility of the Homeowner. If Contractor elects, as his discretion, to pay the plan check and permit fee in order to expedite the process on behalf of the Homeowner, the Contractor will have the right to receive full reimbursement for any plan check and/or permit fees paid. Exception; if a stated amount or maximum allowance is indicated in the above agreement the plan check and permit fee will be covered up to that amount. No receipts will be presented and no credits be issued for projects that fall within the maximum allowance. If, however, the maximum allowance is exceeded Contractor must provide receipts and have the right to receive full reimbursement (due upon receipt) for the amount exceeding the maximum allowance stated within this agreement.

5.1 DUCTING LOCATION(S): Air duct installation will be routed to meet building and safety requirements. The exact location of ducts and vents cannot be guaranteed in advance. CALOFT will install ducts using existing attic spaces, crawl spaces and duct channels. The final decision where the HVAC vent and duct will be installed is up to the sole discretion of the Contractor and will achieve a passing approval by building inspector. If any duct(s) cannot be successfully routed through open spaces due to existing conditions, framing requirements, hardware and materials specifications that do not allow duct passage a new duct space might need to be constructed using additional framing and drywall (the soffit method). If this situation is unavoidable the Contractor will notify the Homeowner and price out the solution. The additional charge (if any) is usually nominal for the additional framing and drywall.

5.2 ELECTRICAL PANEL: New sub-panel or upgrade to existing not included in quote unless specifically stated and detailed in above agreement. If consolidation is not possible and/or if amperage in panel is found to be inadequate a new panel or sub-panel may be required (currently not included). If this occurs a separate estimate will be provided for upgrading the current panel or installing a sub-panel.

5.3 UTILITIES: The Homeowner is responsible for maintaining electrical power and water services during construction of this project.

5.4 DRYWALL TEXTURE - standards; Where applicable drywall texture will be applied to match existing as closely as professionally possible (i.e. knock down, egg shell, smooth coat, etc...). Between project and non-project areas there will be a transition where the existing texture and new texture meet. Slightly visible transitions are normal. The only way to greatly reduce a visibly detectable transition is to spray new texture over the entire surface (new and existing) all the way into the non-project areas to the next corner. This can result in a substantial increase in project scope and is not included in this quote unless specifically described as such. This is an upgrade charge if it is desired and will be noted and may be elected as an upgrade titled; DRYWALL TEXTURE ADJACENT AREAS. You may elect the option of refinishing all existing drywall surfaces adjacent to the new project area by requesting an upgrade for these services and signing a change order to include these services.

5.4a DRYWALL TEXTURE TRANSITIONS and Shadowing; In feathered areas paint absorption is a critical step in maintaining the best final look. Transition lines and shadowing are made worse by homeowners or painters (other than CALOFT) not following proper surface preparation techniques (i.e. sanding and smoothing) and failing to properly prime and seal ALL surfaces before painting. CALOFT is NOT responsible for transition shadowing or visible lines unless the surface scope upgrade is included as described in item 5.4 above.

5.4b SMOOTH COAT DRYWALL - smooth coat; Where smooth coating wall surfaces are desired instead of textured this is an upgrade and an additional charge will likely apply. This agreement does NOT cover smooth coat surfaces unless specifically stated in drywall section.

5.4c STUCCO TEXTURE, if included and where applicable; Stucco texture and color are treated as two separate phases. Stucco texture shall match existing as closely as professionally possible. Stucco color matching is only possible if stucco has impregnated original stucco coloring. Even the best techniques cannot always produce a perfect color match due to older stucco (weathered) coloring. We recommend painting the wall from corner to corner for the best blending (not included unless specifically stated). Painting is not included in this quote unless otherwise specified in the items list of this agreement.

5.5 FRAMING UPGRADES: All wall framing (if included) is estimated based on straight, non-angled, non-circular construction. Unless specifically included in this agreement the desire for curved and/or angled walls may require additional charge and shall be amended after the design meeting and authorized by use of a change order.

6.0 VERBAL AGREEMENT POLICY - During the design process many thoughts, ideas, additions, changes to scope, etc. may be discussed prior to officially documenting the final desired project details. In order to be clear of what is included and/or excluded please adhere to this written agreement. Everything to be proposed and included must be stated in writing. If an item is not mentioned as included within this agreement then it is shall be considered excluded. Please note that agreements for price that alter this contract or add to it's work requirements may not be made by employees or subcontractors.

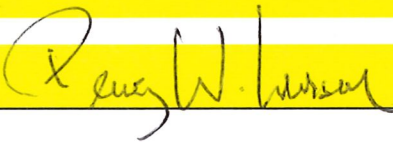
6.1 FINAL PROPOSAL; This document shall serve as the final proposal IF NO CHANGES ARE REQUESTED OR REQUIRED. including those caused by hidden conditions, the Homeowner, other contractors or services hired by the Homeowner, Homeowner's personal designer, city plan checker, city engineer, city inspector. If there are any changes an amended proposal or change order(s) will be provided with an adjusted scope and proposal amount.

6.2 VOLUNTARY ARBITRATION AGREEMENT; Both the Homeowner and the Contractor agree to the process of arbitration to settle any disputes that may arise before, during or after the execution of this agreement. The Arbitrator shall be selected by the Contractor State License Board (CSLB) and it's findings will be binding. Both parties hereby agree to settle using the process of arbitration.

ACKNOWLEDGEMENTS & SIGNATURES

I, we, the undersigned, acknowledge and agree to the project items and details and to the terms and conditions as stated above. THREE DAY RIGHT TO CANCEL: Owner has a right to cancel this agreement within three (3) business days for any reason and receive a full refund. Cancellations after 3 business days or during the work phase of any phase of this project will result in the project being costed by CALOFT and charges for work up to the time of cancellation will be due and paid by Homeowner. If monies received by CALOFT exceed the cost of work up to time of cancellation a refund will be issued. Both parties signing below agree to a voluntary abitration process as stated in 6.2 above if any disputes arise regarding this agreement.

HOMEOWNER NAME

SIGNATURE X 

SIGNING DATE
04/09/2025

GENERAL CONTRACTOR: Luis Salcido / Aaron Hernandez CALOFT CORP CSLB #970476

SIGNATURE X _____

SIGNING DATE
